

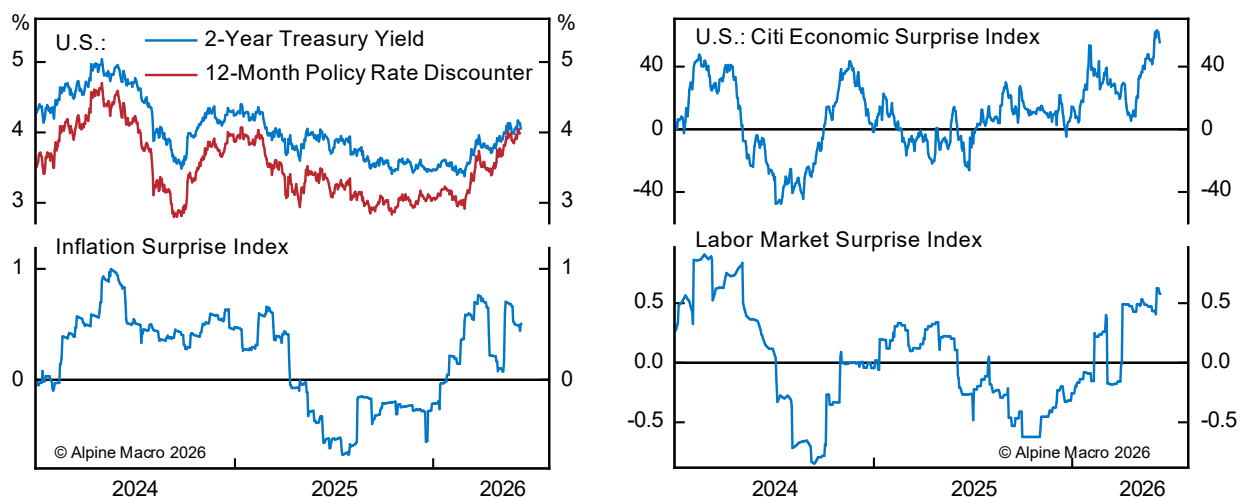
Oil-Driven Liquidity Boost?

- A tentative U.S.-Iran ceasefire may be imminent, as will be discussed in a forthcoming report by our *Geopolitical Strategy* service and Wednesday's [webcast](#) with Chen Zhao, *Chief Global Strategist*. That would begin the process for mean-reversion, or even an undershoot, in oil prices as discussed in our April 16th, *Special Report*, "[Oil Price Mean Reversion Ahead](#)".
- Equities are overbought and may continue to correct, but a reversal of the oil supply shock could pave the way for the next phase of the mania in the second half of this year. In any case, the cyclical equity bull market is intact. The main macro risk to this view is that there will be "too much" rather than "too little" growth, causing confusion over the Fed policy.
- Barbell strategy still makes sense. Augment healthcare and small cap exposure.
- Yields stuck in a range, but we expect to boost bond duration later this year when lower oil leads to falling inflation and rate expectations. A sharp decline in oil prices would give the Fed room to cut interest rates later this year.
- Commodities are in a rotational bull market. Metals and mining stocks are attractive.

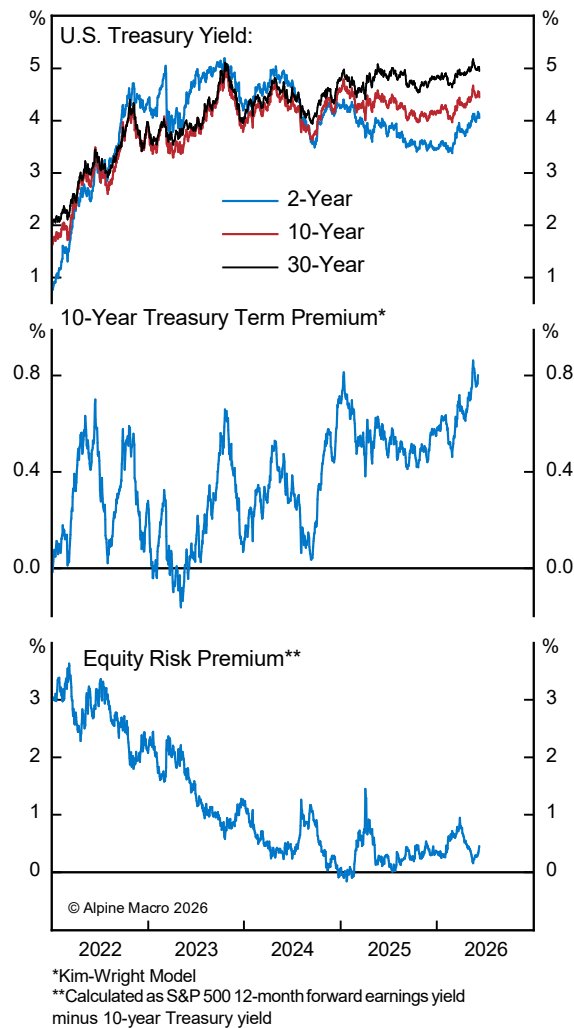
If agreed, a U.S.-Iran ceasefire would delay an overdue equity correction. The market is overbought, the rally has been narrow and money markets are now discounting 18 bps of rate hikes over the next 12 months. However, the underlying bull market is intact and a sharp decline in oil prices would allow for lower interest rates that are an essential ingredient of manias.

The main risk over the next few months is that economic acceleration further pushes up expected interest rates. This is consistent with the string of upside surprises in inflation, economic and labor market data that began before the Iran War started ([Chart 1](#)). In contrast, earnings growth should remain constructive with unit labor costs under control. As a result, there has been a widening divergence between, on the one hand, rising bond yields and a widening term premium and, on the other hand, a minimal equity risk premium similar to the late 1990s ([Chart 2](#)). These trends cannot diverge forever, especially given the mania-like rotation that has played out within the tech space looking for the next hot sector ([Chart 3](#)). Live within

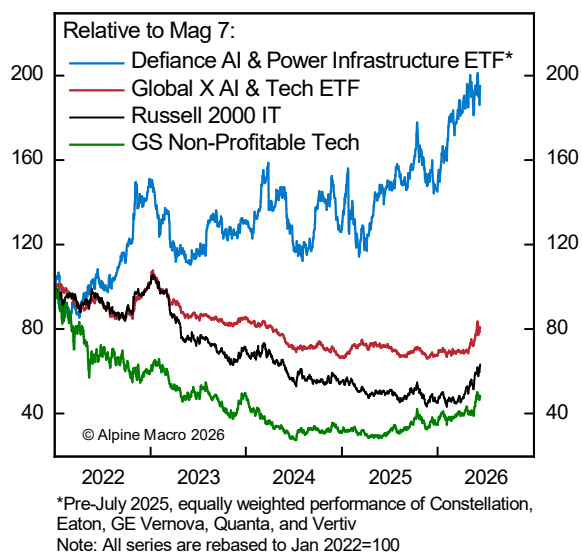
Chart 1: Upside Surprises Began Before U.S.-Iran War Began



Source: Alpine Macro, Bloomberg Finance L.P., Citigroup

Chart 2: Bond Term Premium Up, Equity Risk Premium Down


Source: Alpine Macro, Federal Reserve, Bloomberg Finance L.P.

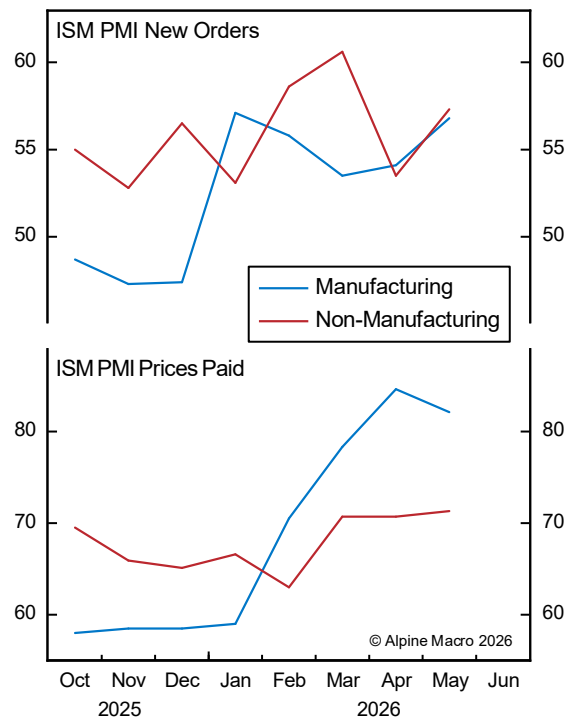
Chart 3: Mania-Like Rotation Within Tech Space


Source: Alpine Macro, Bloomberg Finance L.P.

At a minimum, a pullback and increased volatility in risk assets should be expected for as long as oil prices boost inflation breakevens and undermine consumer sentiment. Once this subsides, we expect the environment to be constructive. EPS are in a long-term uptrend, and inflation pressures will remain contained. Against this backdrop, renewed disinflation in the form of oil price mean reversion and/or signs of a spreading AI-driven productivity boom will allow more generous liquidity conditions, in line with the late 1990s mania playbook.

Theme 1: “Too Much” Growth?

Recent indicators such as ISM surveys have shown impressive resilience in both new orders and the ability to pass on higher costs in the face of geopolitical uncertainty related to the U.S.-Iran War (Chart 4). Bond yields will remain sensitive to oil prices but are unlikely to break out of the tight 3.9-4.7% range for the 10-year yield in place since mid-2023. The Fed is under no pressure to cut interest rates given the resilience of growth indicators during the oil shock.

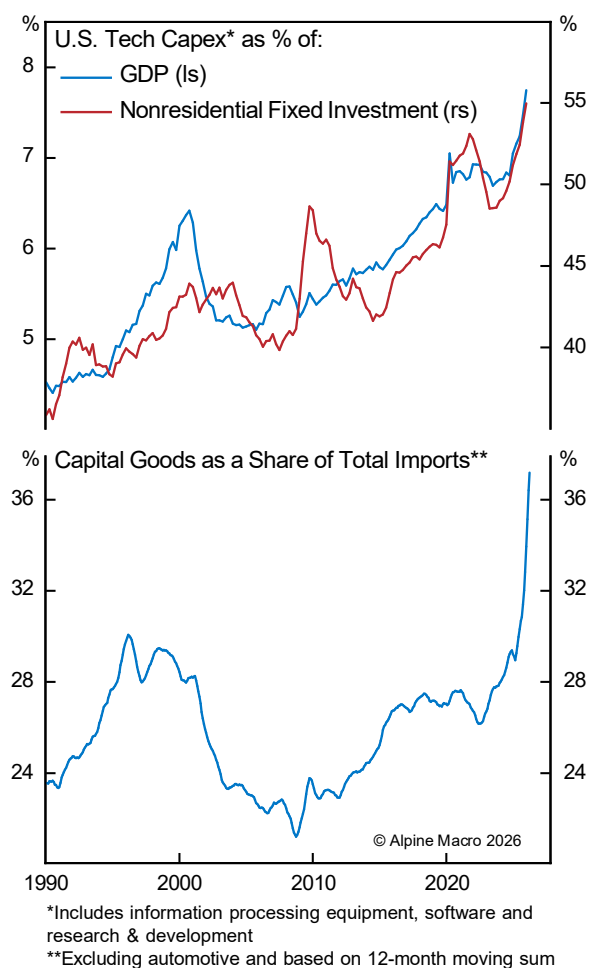
Chart 4: New Orders Expanding, Profits Holding Up Despite Rising Prices Paid


Source: Alpine Macro

Nevertheless, any inflation scare driven by fears of “too much” growth should prove short-lived, and we expect lower bond yields in 6-12 months’ time:

- **Narrow macro growth impulse:** The economic expansion is heavily dependent upon AI-driven tech capex, which accounts for only 9.9% of real GDP even though it has steadily increased to more than half of overall capital spending ([Chart 5](#)). Moreover, tech capex and related demand have a high imported component, which reduces the benefit to overall GDP.

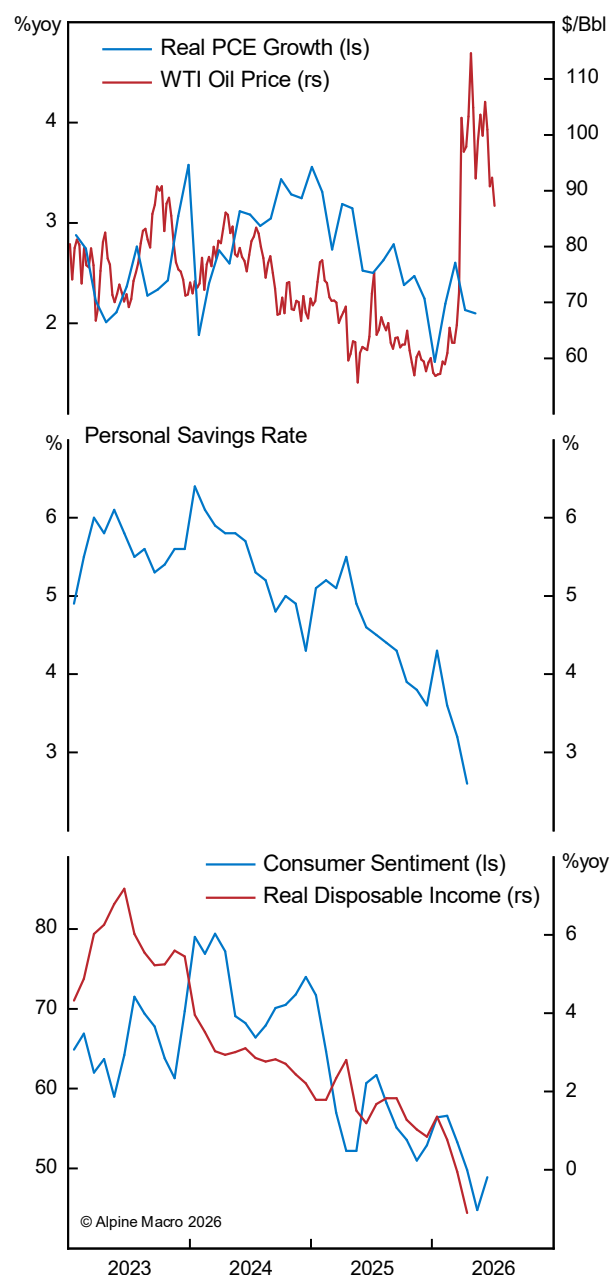
Chart 5: Tech Capex Is A Key Driver Of Domestic Spending



Source: Alpine Macro

- **Soft consumer fundamentals:** Real personal disposable income is falling and the household savings rate already is low ([Chart 6](#)). As discussed in last month's [Special Report](#), consumer outlays are highly reliant on the upper 20% of income earners, with the energy shock heavily impacting the bottom 20%. Consistent with this, employee compensation as a share of gross domestic income continues to hit new lows (51% in 2026 Q1, versus 53% average 2016-19).

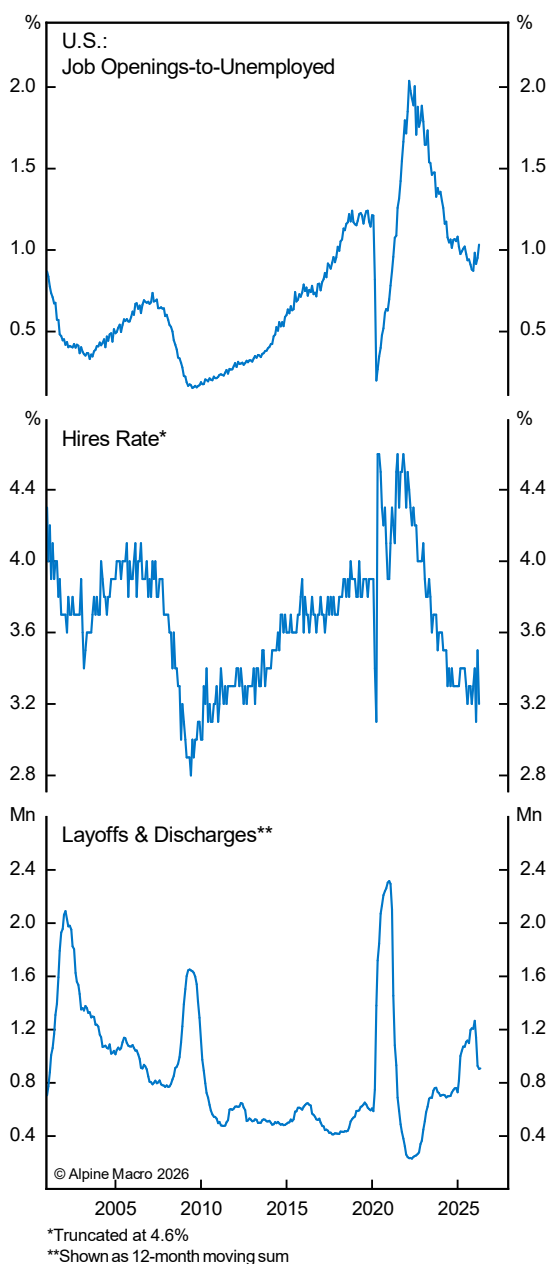
Chart 6: Low Savings Rate, Falling Real Disposable Income



Source: Alpine Macro, University of Michigan

- **Tentative labor market bottom:** Job openings and hires have barely turned up, while layoffs are increasing ([Chart 7](#)). New private employment remains dependent on education and health services.
- **Contained cost pressures:** Unit labor cost growth continues to drop, while average hourly earnings growth is close to a cyclical low of 3.4%. The more reliable Atlanta Fed Wage Tracker also remains subdued.

Chart 7: Tentative Labor Market Bottom

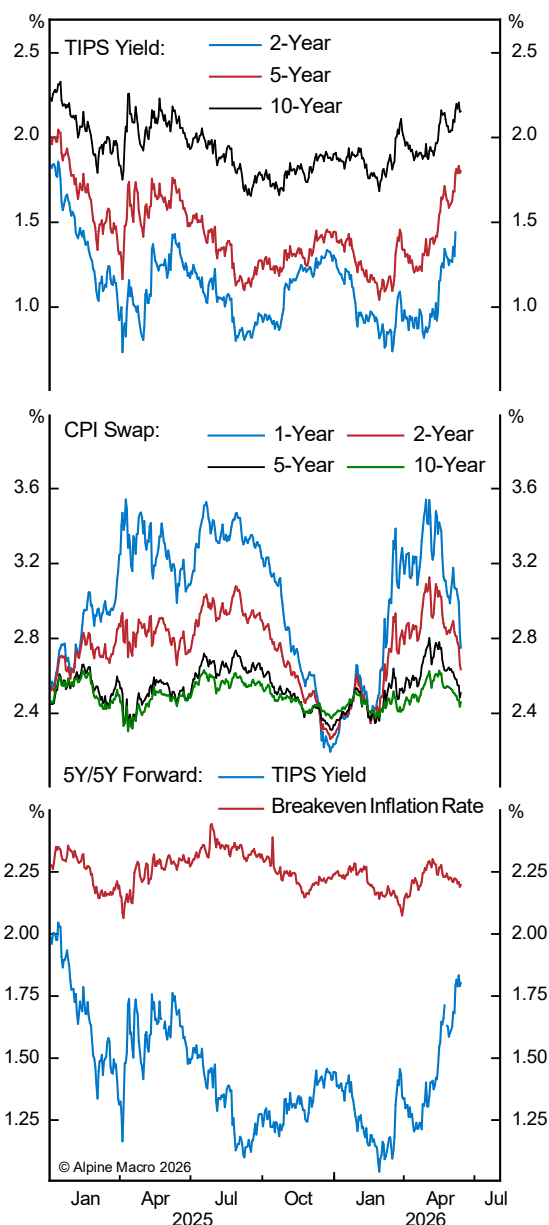


Source: Alpine Macro

All in all, the bond selloff should reverse when oil prices mean revert and the Fed has room to lower interest rates. [Chart 8](#) shows that the upward pressure on yields has been driven by short-term bonds, for both the real and inflation components. In contrast, the 5-year/5-year forward TIPS yields and breakeven inflation rates are within their ranges of the past year. The backdrop is plentiful global savings, as evidenced by upward pressure on current account surpluses across Europe and east Asia, including China.

Bottom line: Risks remain skewed on the side of “too much” rather than “too little” growth, but bond yields should be lower on a 6–12 months’ time horizon. The

Chart 8: Yield Increase Driven By Short-Term Bonds



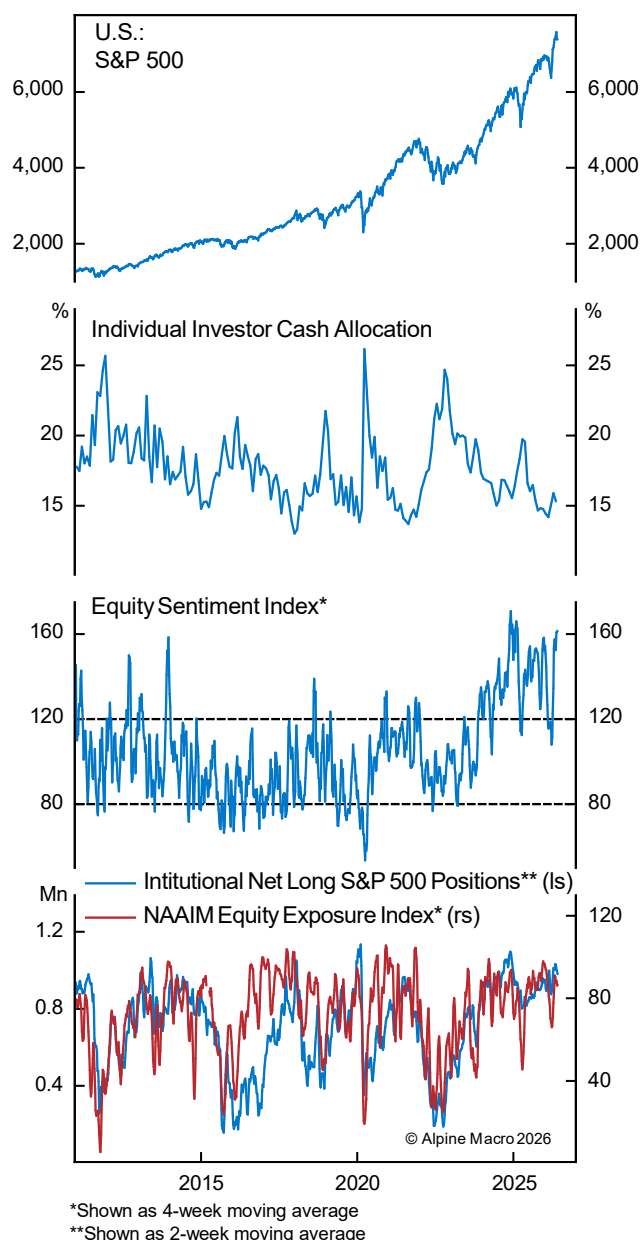
Source: Alpine Macro

main sources of upward pressure on inflation and bond yields are transitory. Stay at benchmark duration, with a view to increasing later this year.

Theme 2: Countertrend Equity Correction

Equities are technically vulnerable to a correction and higher volatility. [Chart 9](#) shows that equity positioning has become skewed towards complacency and excessive bullishness. [Chart 10](#) shows that expected dispersion within the S&P 500 is at a multi-year high, indicating investor focus on a handful of stocks.

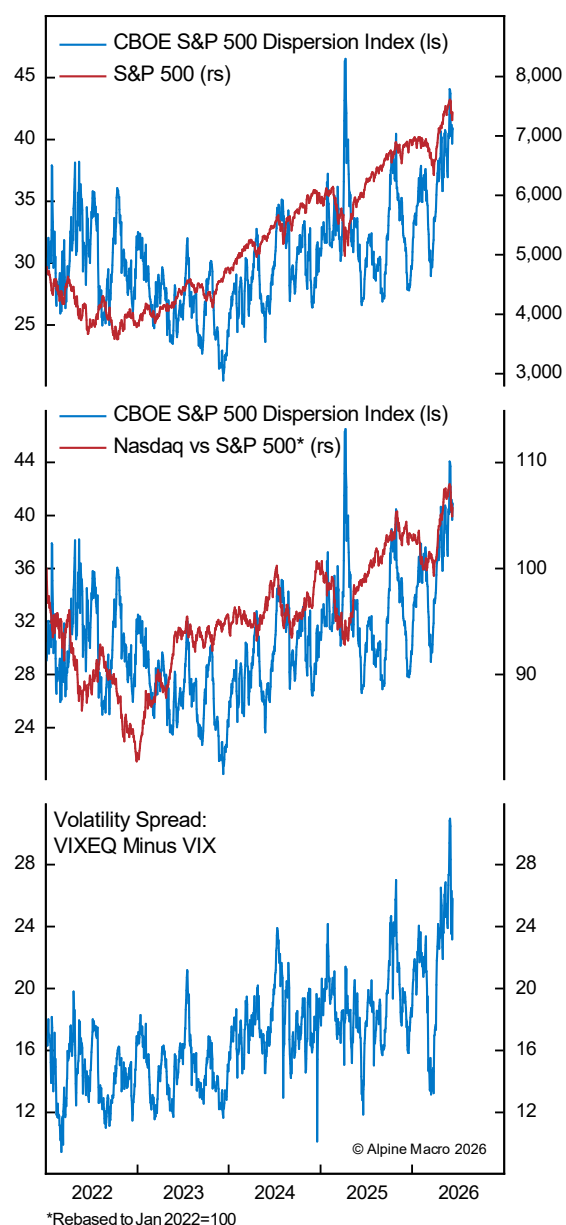
Chart 9: Equities Are Overbought



Source: Alpine Macro, AAIL, ISE, CFTC

A number of factors allow for a pullback, although a major oil price drop would delay the inevitable bull market correction. First, Broadcom's disappointing earnings report casts a shadow over whether chip demand will keep "accelerating to infinity". Second, Google is tapping the equity market for \$80 billion to finance tech capex, massive borrowing by historical standards, suggesting that hyperscaler stock prices will be sensitive to Fed policy. Third, investors are punishing tech companies that revise upward their capex plans. Fourth, expensive mega-IPOs could drain capital from existing highflyers in the AI space. Fifth, geopolitical uncertainty is keeping bond yields elevated, which in turn, could prompt earnings yield compression and the Fed to stay on the sidelines.

Chart 10: An Increasingly Narrow Bull Market



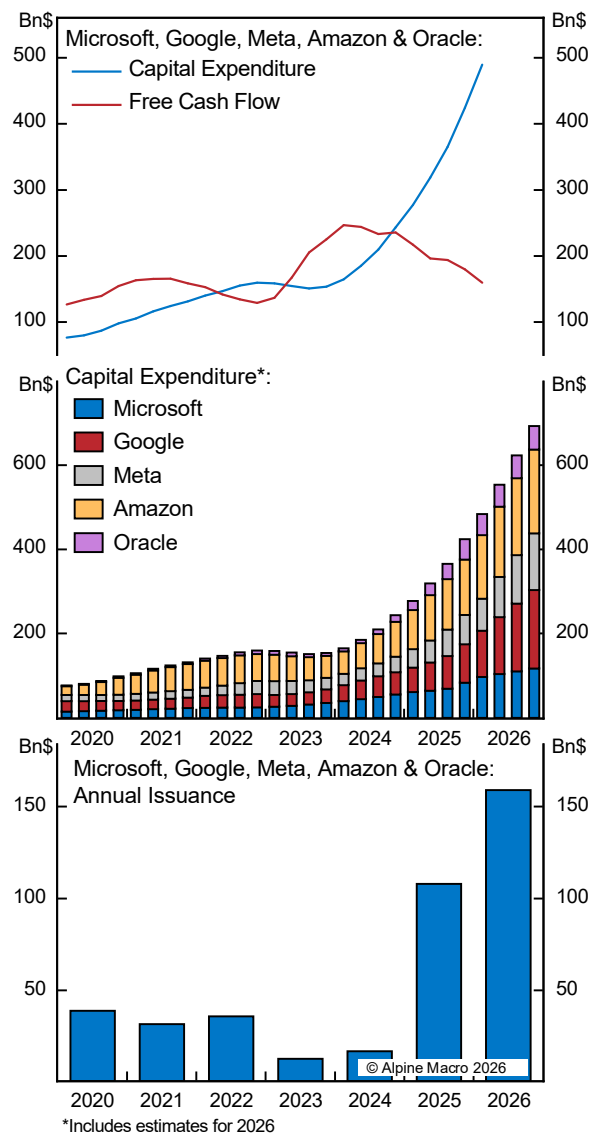
Source: Alpine Macro

In our view, none of these headwinds threaten the cyclical bull market. However, they do warn that corrective forces will hold sway until the liquidity backdrop brightens. This has implications for both our mania forecast and risk management strategy:

- **Mania forecast:** We have long expected the environment to follow the late 1990s Internet bubble/bust roadmap (click [here](#), [here](#) and [here](#)). That has not changed. What has changed is that the next phase of the mania awaits renewed expectations of Fed rate cuts, requiring a plunge in oil prices and/or clear signs of broadening AI-related productivity gains and disinflation.

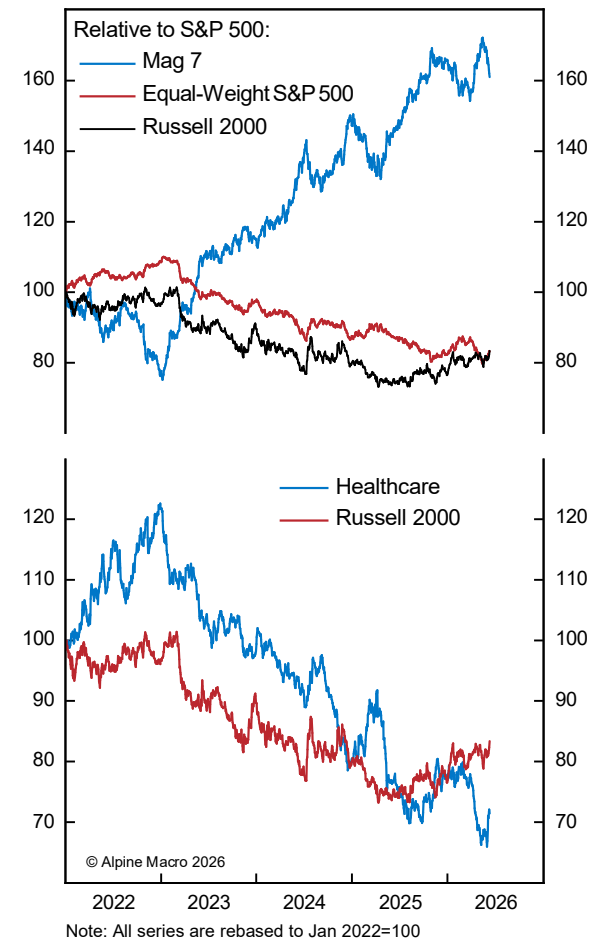
- Risk management strategy:** With AI and related themes well known, and both the economy and stock market sensitive to hyperscalers' capex ([Chart 11](#)), our barbell equity strategy is even more compelling. We continue to advise overweights in tech stocks, "Old Economy" cyclicals and AI hedges such as power infrastructure plays. We also have added small caps and healthcare to the non-tech side of this barbell strategy ([Chart 12](#)). Small caps offer attractive relative value and benefit when the economy is expanding, as well as offering a hedge if Big Tech has a vicious correction. Healthcare should play catch up as big pharma acquires promising biotech companies. Stay underweight sectors that outperform when there is recession/growth disappointment.

Chart 11: Rising Hyperscalers' Capex And Issuance



Source: Alpine Macro, Bloomberg Finance L.P., Bank of America

Chart 12: Add Healthcare And Small Caps To Barbell Portfolio

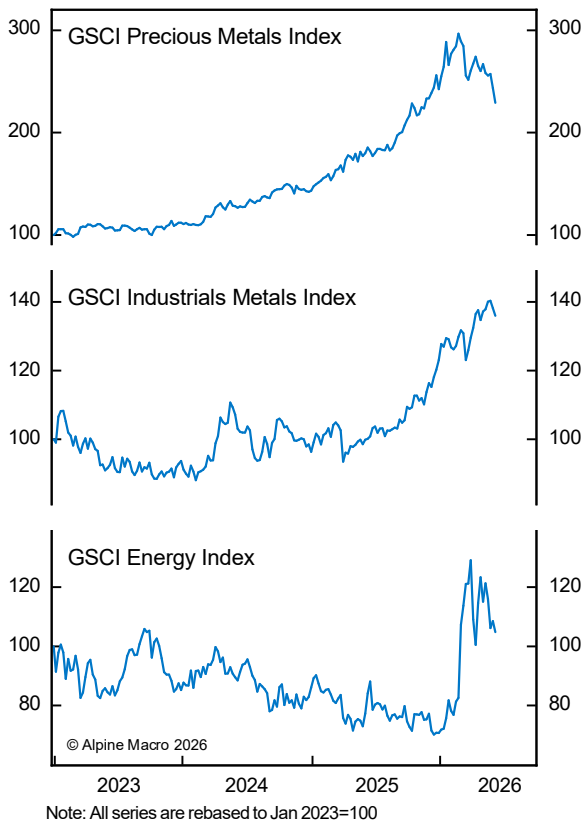


Source: Alpine Macro

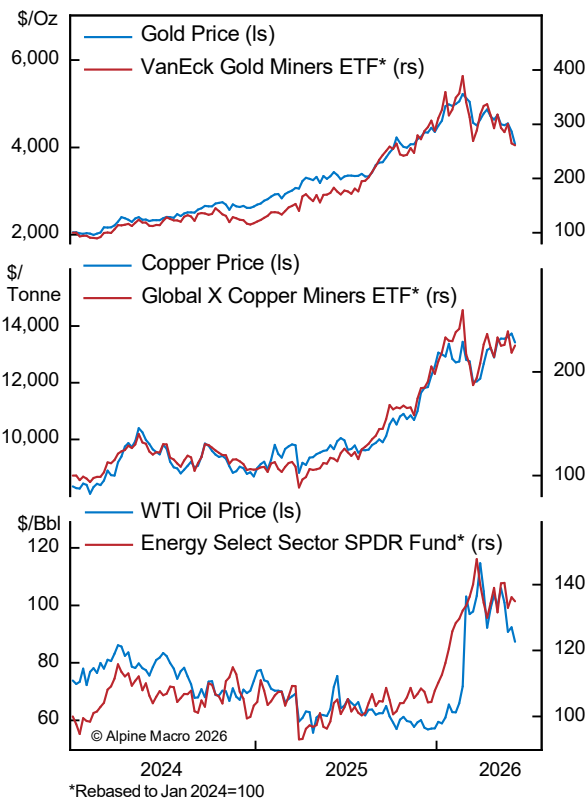
Bottom line: The mania theme is intact, but requires increased liquidity to begin the next upleg. Barbell portfolio strategy still makes sense as a hedge against "too much" growth. We rebalanced last month away from tech and towards "Old Economy" cyclicals. Add small caps and healthcare to the non-tech side of the barbell.

Theme 3: Rotational Commodity Uptrend

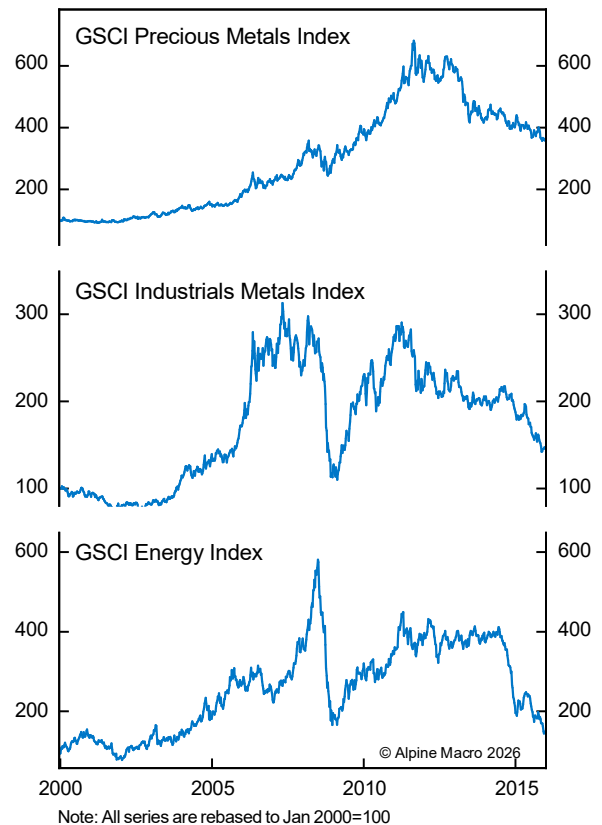
We expect the rotational nature of the commodity uptrend in place since 2024 to persist. [Chart 13](#) shows that precious metals turned up in early 2024, spurred by foreign central bank buying; then industrial metals moved up in early 2025, related to potential AI and alternative energy demand; and finally, conventional energy surged in response to the U.S.-Iran War since February 2026. Related equities show a similar pattern, exemplified by the gold, copper and energy producer stock prices shown in [Chart 14](#).

Chart 13: Rotational Commodity Uptrend

Source: Alpine Macro

Chart 14: Resource Equities Follow Resource Prices

Source: Alpine Macro

Chart 15: Structural 2000s Commodity Bull Also Was Rotational

Source: Alpine Macro

As with the commodity uptrend of the 2000s, capital is flowing into the asset class, then rotating in line with shifting internal themes. Back then, a steady tailwind of investor excitement caused a persistent uptrend, but outperformance among the various resource sectors depended on whichever underlying driver was most pronounced ([Chart 15](#)). More specifically, episodes of dollar weakness boosted precious metals; accelerations in Chinese industrialization and infrastructure investment led to surges in base metals; and periods of increased EM oil demand prior to the U.S. shale boom drove fears of an energy shortage. All of this was in the context of a secular bull market.

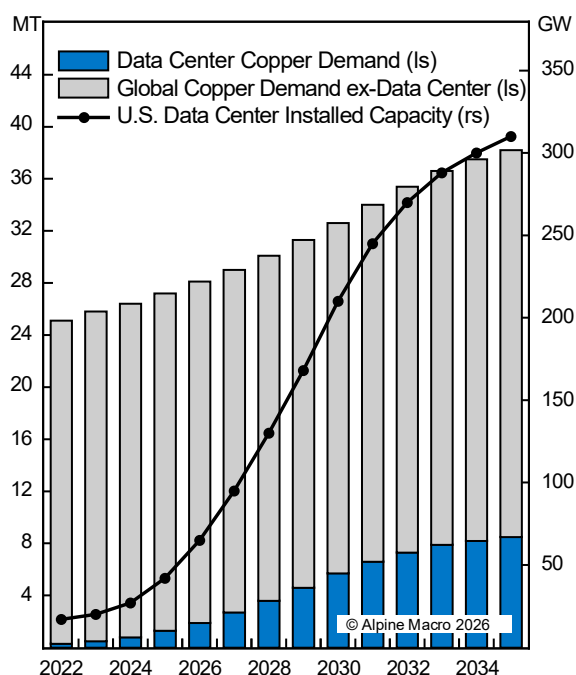
Currently, the main underlying drivers of investor excitement are AI and infrastructure related demand, geopolitical risk emanating from Strait of Hormuz (SoH) blockades, and fears that fiscal and monetary policymakers will debase fiat currencies. The latter appears on hold for now judging from the pullback in both gold and Bitcoin, while SoH concerns could persist or end in the coming week, but AI/alternative driven resource demand is more predictably bullish.

Metals and mining stocks are attractive in this environment, especially after the recent pullback.

Chart 16 shows that copper demand continues to increase, both from data centers and elsewhere, with the backdrop of highly price-inelastic supply given the long timeline for mines to ramp up production. However, a backup in interest rates and increased concerns about energy costs have spurred a correction in metals miners, which are both capital and power intensive, leaving the sector relatively cheap (**Chart 17**).

Prior to the upward pressure on energy and sulfuric acid costs, most producers had robust margins well above all-in sustaining costs (AISC), with median AISC margins of around 55%. Profitability has also remained resilient, with most copper operations staying in the black throughout the post-2020 period. Meanwhile, consensus EPS revisions continue to trend higher.

Chart 16: Copper Demand Increasing From Data Centers And Elsewhere



Source: Alpine Macro, Wood Mackenzie, Goldman Sachs Investment Research, Bloomberg Finance L.P.

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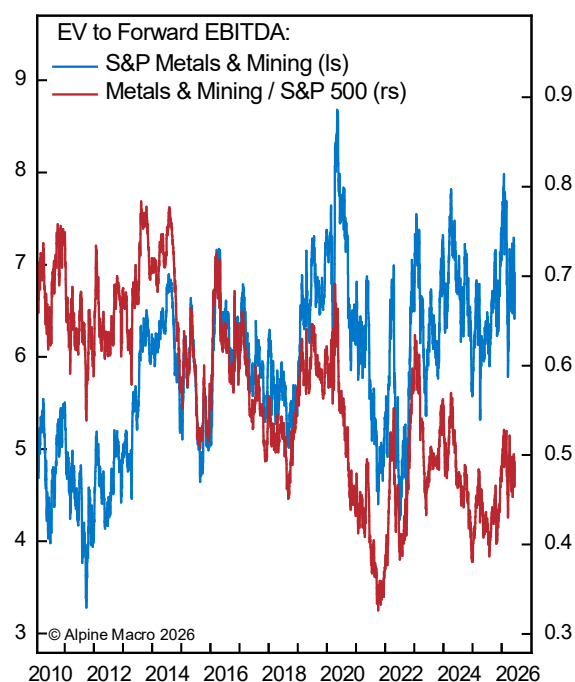
David Abramson Chief U.S. Strategist & Director of Research

Chen Zhao Chief Global Strategist & Editor-in-Chief

Tony Boeckh Editor-in-Chief Emeritus

Mark McClellan Co-Head of U.S. Bond Strategy

Chart 17: Metal Miners Relatively Cheap



Source: Alpine Macro, Bloomberg Finance L.P.

The starting point for the mining sector is a strong financial position, especially for copper miners.

Profit margins are also supported by tight concentrate markets. Treatment charges (TCs)—typically negotiated annually between miners and smelters—have fallen to historic lows. Spot TCs have been negative since 2024, reflecting an exceptionally tight concentrate market, where smelters are effectively paying miners to secure feedstock. This dynamic shifts value upstream and further reinforces the earnings resilience of copper producers.

Bottom line: Rotational commodity bull market should persist. Base metals and metal miners are well positioned over a 3 to 6 month horizon.

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